IMPAIRMENT AND DERECOGNITION OF ASSETS

Learning Outcome

- explain and evaluate how impairment and derecognition of property, plant, and equipment and intangible assets affect the financial statements and ratios

In contrast with depreciation and amortization charges, which serve to allocate the depreciable cost of a long-lived asset over its useful life, impairment charges reflect an unanticipated decline in the value of an asset. Both IFRS and US GAAP require companies to write down the carrying amount of impaired assets. Impairment reversals for identifiable, long-lived assets are permitted under IFRS but typically not under US GAAP.

An asset is considered to be impaired when its carrying amount exceeds its recoverable amount. Although IFRS and US GAAP define recoverability differently (as described below), in general, impairment losses are recognized when the asset's carrying amount is not recoverable. The following paragraphs describe accounting for impairment for different categories of assets.

Impairment of Property, Plant, and Equipment

Accounting standards do not require that property, plant, and equipment be tested annually for impairment. Rather, at the end of each reporting period (generally, a fiscal year), a company assesses whether there are indications of asset impairment. If there is no indication of impairment, the asset is not tested for impairment. If there is an indication of impairment, such as evidence of obsolescence, decline in demand for products, or technological advancements, the recoverable amount of the asset should be measured in order to test for impairment. For property, plant, and equipment, impairment losses are recognized when the asset's carrying amount is not recoverable (i.e. the carrying amount is more than the recoverable amount). The amount of the impairment loss will reduce the carrying amount of the asset on the balance sheet and will reduce net income on the income statement. The impairment loss is a non-cash item and will not affect cash from operations.

IFRS and US GAAP differ somewhat both in the guidelines for determining that impairment has occurred and in the measurement of an impairment loss. Under IAS 36, an impairment loss is measured as the excess of carrying amount over the recoverable amount of the asset. The recoverable amount of an asset is defined as "the higher of its fair value less costs to sell and its value in use." Value in use is based on the present value of expected future cash flows. Under US GAAP, assessing recoverability is separate from measuring the impairment loss. The carrying amount of an asset "group" is considered not recoverable when it exceeds the undiscounted expected future cash flows of the group. If the asset's carrying amount is considered not recoverable, the impairment loss is measured as the difference between the asset's fair value and carrying amount.

EXAMPLE 2

Impairment of Property, Plant, and Equipment

Sussex, a fictional manufacturing company in the United Kingdom, owns a machine it uses to produce a single product. The demand for the product has declined substantially since the introduction of a competing product. The company has assembled the following information with respect to the machine:

Carrying amount	GBP18,000

Costs to sell	GBP2,000

1. Under IFRS, what would the company report for the machine?

Hide Solution

Solution:

Under IFRS, the company would compare the carrying amount (GBP18,000) with the higher of its fair value less costs to sell (GBP15,000) and its value in use (GBP16,000). The carrying amount exceeds the value in use, the higher of the two amounts, by GBP2,000. The machine would be written down to the recoverable amount of £16,000, and a loss of £2,000 would be reported in the income statement. The carrying amount of the machine is now GBP16,000. A new depreciation schedule based on the carrying amount of GBP16,000 would be developed.

2. Under US GAAP, what would the company report for the machine?

Hide Solution

Solution:

Under US GAAP, the carrying amount (GBP18,000) is compared with the undiscounted expected future cash flows (GBP19,000). The carrying amount is less than the undiscounted expected future cash flows, so the carrying amount is considered recoverable. The machine would continue to be carried at GBP18,000, and no loss would be reported.

In Example 2, a write down in the value of a piece of property, plant, and equipment occurred under IFRS but not under US GAAP. In Example 3, a write down occurs under both IFRS and US GAAP.

EXAMPLE 3

Impairment of Property, Plant, and Equipment

Essex, a fictional manufacturing company in the United Kingdom, owns a machine it uses to produce a single product. The demand for the product has declined substantially since the introduction of a competing product. The company has assembled the following information with respect to the machine:

Carrying amount	GBP18,000
Undiscounted expected future cash flows	GBP16,000
Present value of expected future cash flows	GBP14,000
Fair value if sold	GBP10,000
Costs to sell	GBP2,000

1. Under IFRS, what would the company report for the machine?

Hide Solution

Solution:

Under IFRS, the company would compare the carrying amount (GBP18,000) with the higher of its fair value less costs to sell (GBP8,000) and its value in use (GBP14,000). The carrying amount exceeds the value in use, the higher of the two amounts, by GBP4,000. The machine would be written down to the recoverable amount of GBP14,000, and a loss of GBP4,000 would be

2. Under US GAAP, what would the company report for the machine?

Hide Solution

Solution:

Under US GAAP, the carrying amount (GBP18,000) is compared with the undiscounted expected future cash flows (GBP16,000). The carrying amount exceeds the undiscounted expected future cash flows, so the carrying amount is considered not recoverable. The machine would be written down to fair value of GBP10,000, and a loss of GBP8,000 would be reported in the income statement. The carrying amount of the machine is now GBP10,000. A new depreciation schedule based on the carrying amount of GBP10,000 would be developed.

Example 3 shows that the write down to value in use under IFRS can be less than the write down to fair value under US GAAP. The difference in recognition of impairment losses is ultimately reflected in differences in book value of equity.

Impairment of Intangible Assets with a Finite Life

Intangible assets with a finite life are amortized (carrying amount decreases over time) and may become impaired. As is the case with property, plant, and equipment, the assets are not tested annually for impairment. Instead, they are tested only when significant events suggest the need to test. The company assesses at the end of each reporting period whether a significant event suggesting the need to test for impairment has occurred. Examples of such events include a significant decrease in the market price or a significant adverse change in legal or economic factors. Impairment accounting for intangible assets with a finite life is essentially the same as for tangible assets; the amount of the impairment loss will reduce the carrying amount of the asset on the balance sheet and will reduce net income on the income statement.

Impairment of Intangibles with Indefinite Lives

Intangible assets with indefinite lives are not amortized. Instead, they are carried on the balance sheet at historical cost but are tested at least annually for impairment. Impairment exists when the carrying amount exceeds its fair value.

Impairment of Long-Lived Assets Held for Sale

A long-lived (non-current) asset is reclassified as held for sale rather than held for use when management's intent is to sell it and its sale is highly probable. (Additionally, accounting standards require that the asset must be available for immediate sale in its present condition.)[8] For instance, assume a building is no longer needed by a company and management's intent is to sell it. If the transaction meets the accounting criteria, the building is reclassified from property, plant, and equipment to non-current assets held for sale. At the time of reclassification, assets previously held for use are tested for impairment. If the carrying amount at the time of reclassification exceeds the fair value less costs to sell, an impairment loss is recognized and the asset is written down to fair value less costs to sell. Long-lived assets held for sale cease to be depreciated or amortized.

Reversals of Impairments of Long-Lived Assets

After an asset has been deemed impaired and an impairment loss has been reported, the asset's recoverable amount could potentially increase. For instance, a lawsuit appeal may successfully challenge a patent infringement by another company, with the result that a patent previously written down has a higher recoverable amount. IFRS permit impairment losses to be reversed if the recoverable amount of an asset increases regardless of whether the asset is classified as held for use or held for sale. Note that IFRS permit the reversal of impairment losses only. IFRS do not permit the revaluation to the recoverable

been recognized for assets held for use, it cannot be reversed. In other words, once the value of an asset held for use has been decreased by an impairment charge, it cannot be increased. For assets held for sale, if the fair value increases after an impairment loss, the loss can be reversed.

Derecognition

A company derecognizes an asset (i.e., removes it from the financial statements) when the asset is disposed of or is expected to provide no future benefits from either use or disposal. A company may dispose of a long-lived operating asset by selling it, exchanging it, abandoning it, or distributing it to existing shareholders. As previously described, non-current assets that management intends to sell or to distribute to existing shareholders and which meet the accounting criteria (immediately available for sale in current condition and the sale is highly probable) are reclassified as non-current assets held for sale.

Sale of Long-Lived Assets

The gain or loss on the sale of long-lived assets is computed as the sales proceeds minus the carrying amount of the asset at the time of sale. An asset's carrying amount is typically the net book value (i.e., the historical cost minus accumulated depreciation), unless the asset's carrying amount has been changed to reflect impairment and/or revaluation, as previously discussed.

EXAMPLE 4

Calculation of Gain or Loss on the Sale of Long-Lived Assets

1. Moussilauke Diners Inc., a fictional company, is revamping its menus to focus on healthier food items. The company sells 450 used pizza ovens for $3.1 million. At the time of sale, the oven had a carrying amount that reflected an original cost of $5.1 million and $3.2 million in accumulated depreciation. What would be the reported gain or loss from selling the ovens?

   A. $0.1 million loss
   B. $1.2 million gain
   C. $3.1 million gain

   Hide Solution

   Solution to 1:

   B is correct. The ovens had a carrying amount of $5.1 – $3.2 = $1.9 million, and Moussilauke sold the ovens at a price of $3.1 million, resulting in a gain on the sale of $1.2 million. Ignoring taxes, the cash flow from the sale is $3.1 million, which would be reported as a cash inflow from investing.

A gain or loss on the sale of an asset is disclosed on the income statement, either as a component of other gains and losses or in a separate line item when the amount is material. A company typically discloses further detail about the sale in the management discussion and analysis and/or financial statement footnotes. In addition, a statement of cash flows prepared using the indirect method adjusts net income to remove any gain or loss on the sale from operating cash flow and to include the amount of proceeds from the sale in cash from investing activities. Recall that the indirect method of the statement of cash flows begins with net income and makes all adjustments to arrive at cash from operations, including removal of gains or losses from non-operating activities.

Long-Lived Assets Disposed of Other Than by a Sale

Long-lived assets to be disposed of other than by a sale (e.g., abandoned, exchanged for another asset, or distributed to owners in a spin-off) are classified as held for use until

owned by the company.

When an asset is retired or abandoned, the accounting is similar to a sale, except that the company does not record cash proceeds. Assets are reduced by the carrying amount of the asset at the time of retirement or abandonment, and a loss equal to the asset's carrying amount is recorded.

When an asset is exchanged, accounting for the exchange typically involves removing the carrying amount of the asset given up, adding a fair value for the asset acquired, and reporting any difference between the carrying amount and the fair value as a gain or loss. The fair value used is the fair value of the asset given up unless the fair value of the asset acquired is more clearly evident. If no reliable measure of fair value exists, the acquired asset is measured at the carrying amount of the asset given up. A gain is reported when the fair value used for the newly acquired asset exceeds the carrying amount of the asset given up. A loss is reported when the fair value used for the newly acquired asset is less than the carrying amount of the asset given up. If the acquired asset is valued at the carrying amount of the asset given up because no reliable measure of fair value exists, no gain or loss is reported.

When a spin-off occurs, typically, an entire cash generating unit of a company with all its assets is spun off. As an illustration of a spin-off, Fiat Chrysler Automobiles (FCA) spun off its ownership of Ferrari in 2016. Prior to the spin-off, FCA had sold 10 percent of its ownership of Ferrari in an IPO and recognized an increase in Shareholders' equity of EUR873 million (the difference between the consideration it received in the IPO of EUR866 million and the carrying amount of the equity interest sold of EUR7 million.) In contrast, the spin-off, in which FCA distributed its ownership in Ferrari to the existing FCA shareholders, did not result in any gain or loss.

FCA's spin-off was completed on 3 January 2016, with each FCA shareholder receiving one common share of Ferrari N.V. for every ten common shares of FCA. In its financial statements for the prior fiscal year, FCA shows the assets and liabilities of Ferrari as held for distribution. Specifically, its balance sheet includes € 3,650 million in Assets Held for Distribution as a component of current assets and € 3,584 million Liabilities Held for Distribution. Exhibit 2 includes excerpts from the company's 31 December 2015 annual report.

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Exhibit 2:

Excerpt from Fiat Chrysler Automobiles (FCA) Notes to the Consolidated Financial Statements, 2015 Annual Report

Ferrari Spin-off and Discontinued Operations

"As the spin-off of Ferrari N.V. became highly probable with the aforementioned shareholders' approval and since it was available for immediate distribution at that date, the Ferrari segment met the criteria to be classified as a disposal group held for distribution to owners and a discontinued operation pursuant to IFRS 5 - *Non-current Assets Held for Sale and Discontinued Operations*."

The following assets and liabilities of the Ferrari segment were classified as held for distribution on 31 December 2015:

	At 31 December 2015
Assets classified as held for distribution	(euro millions)
Goodwill	786

Other non-current assets	134
Receivables from financing activities	1,176
Cash and cash equivalents	182
Other current assets	448
Total Assets held for distribution	**3,650**
Liabilities classified as held for distribution	
Provisions	224
Debt	2,256
Other current liabilities	624
Trade payables	480
Total Liabilities held for distribution	**3,584**

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KA

Can someone please mention where to do the revaluation and fair value model as it is not clearly mentioned in the shweser books and on this portal

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MN

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